

Table 18.6

	Venture Capital			Buyout		
	25%	Mean	75%	25%	Mean	75%
Carry per \$100	\$8.09	\$8.36	\$8.37	\$4.93	\$5.28	\$5.66
Management Fees per \$100	\$12.04	\$14.80	\$17.61	\$8.77	\$10.35	\$11.65
Total Revenue per \$100	\$20.24	\$23.16	\$26.11	\$15.75	\$17.80	\$19.60
Proportion Incentive Fees	40%	36%	32%	31%	30%	29%

the GPs. For VC funds, the mean of the carry and management fees comes to \$23 per \$100 invested. These are enormous fees! Table 18.6 shows that even the lower 25% distribution of fees is still large, at \$16 and \$20 for buyout and VC funds, respectively. The numbers in Table 18.6 are present values. Phalippou and Gottschalg (2009) compute total fees in terms of flow, which amounts to GPs collecting fees of around 6% per year. As I tell my MBA students looking at asset management careers: as a GP, PE is a wonderful business to be in.

As an LP asset owner, not so. You should be flabbergasted not by the large fees per se but by the fact that incentive fees represent only around 30 to 40% of total fees paid. Asset owners should not balk at high fees but should pay them only when value is created. Two-thirds of total revenues are paid just by virtue of being in a fund. I would prefer to see 1% or 2% of total fees paid in fixed-revenue components and the rest arising from incentive payments. GPs should work to earn their money, but this is not what the current PE contracts deliver.

Chung et al. (2012) argue that the Metrick and Yasuda (2010) analysis understates the effect of incentive fees because it ignores the GPs' ability to raise funds in the future. GPs have incentives to generate high returns for LPs, and reduce fees, in the current fund because poor performance takes away the ability to raise future funds. They find "indirect pay for performance from future fund-raising is at least as large as direct pay for performance from carried interest for first-time buyout funds." From the perspective of LPs, however, PE capital is raised pro-cyclically by GPs. More money is put into PE by LPs when PE valuations are high and future returns tend to be low. This future *performance sensitivity* of GP compensation is tied to the opportunity of LPs to invest right at the wrong time.

David Swensen (2009), master investor in PE and CIO of Yale's endowment, concisely summarizes the PE fee situation: "The large majority of buyout funds fail to add sufficient value to overcome a grossly unreasonable fee structure."

The high fees charged by GPs mean that large asset owners can achieve big savings by taking a do-it-yourself approach to PE investing, which would enable them to keep most of the fees. Many large asset owners, including pension funds such as Canada Pension Plan and Ontario Teacher's Pension Plan and sovereign wealth funds such as Abu Dhabi Investment Authority and Kuwait Investment Authority,